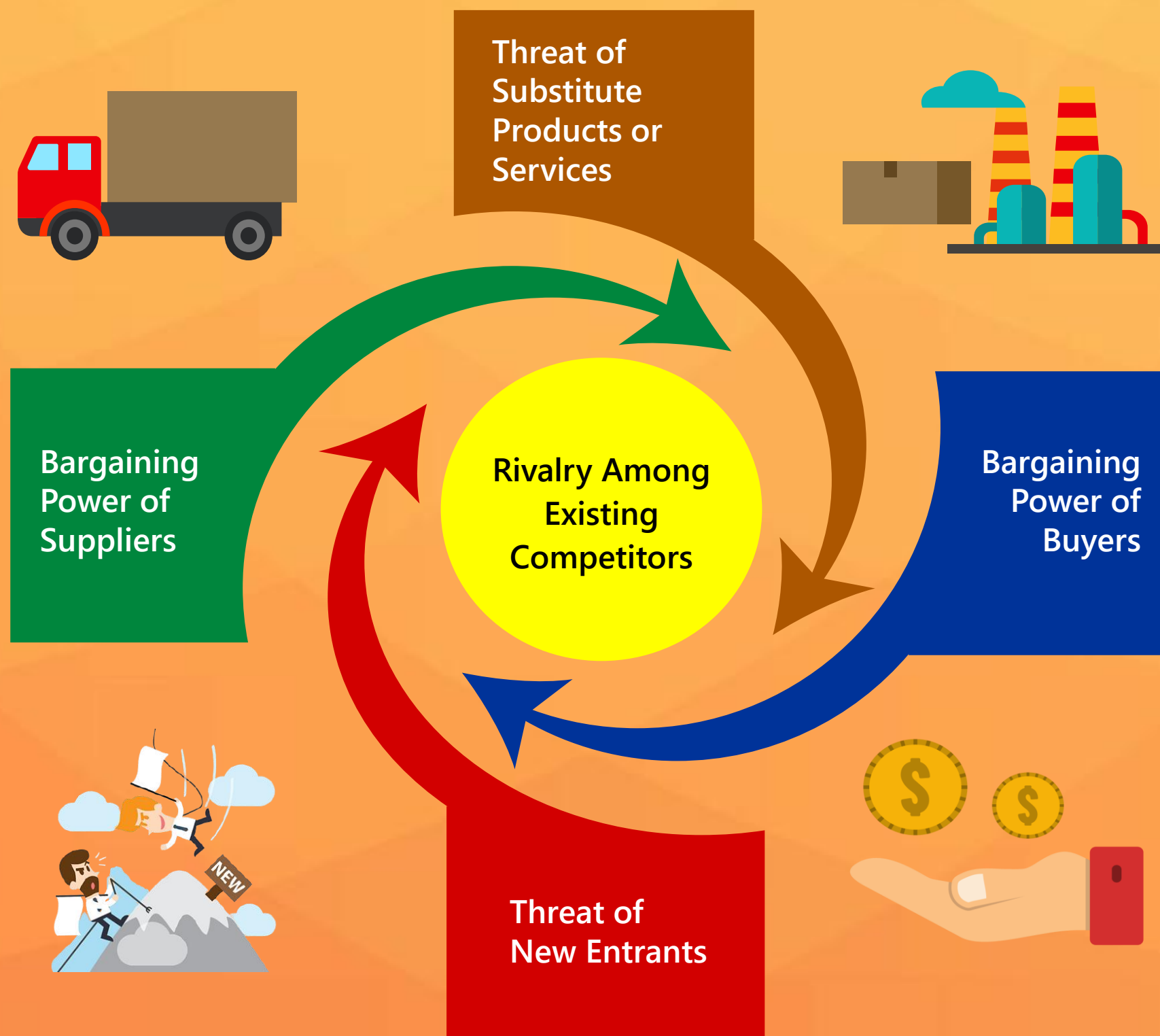


PORTER'S FIVE FORCES

A Framework to guide Business strategy to increase competitive advantage



Five forces are dynamic and assist in studying competitive scenario in an industry

How to apply the Framework

Consider all the factors to make an informed decision



Competitive Rivalry

No. of Competitors,
Size of marketplace,
Industry Growth,
M&A, Exit Barriers



Threat of new entrants

Market regulations,
Complication of the
product or service,
Legal barriers , Budget



Buyer Power

Alternative options
available, Customers'
switching cost, Price
sensitivity, Brand
Strength

Available Substitutes,
Switching Cost, Brand
Loyalty and Market
Strength

Threat of Substitutes



No. of Suppliers,
Cost of Switching
suppliers, their
Portfolio & your value
to Supplier

Supplier Power



IMPLICATIONS OF THE FIVE FORCES

When there are fewer buyers with respect to Suppliers & switching cost of the Buyer is low

When the no. of buyers is higher than suppliers & Switching cost of the Buyer is High



Low cost of Switching to a Substitute indicates High Threat

New entrants may keep the Prices of Old Players under control

Competition is highly influenced by the other Four forces
High rivalry will imply increase in promotion costs and lower profit margins

FRAMEWORK FOR THE INDIAN PASSENGER VEHICLE INDUSTRY

Power of Buyers **HIGH**

Availability of wide range of options for the customers to choose from results in intense competition



LOW Power of Suppliers

Most suppliers are specialized in one segment and are dependent on a few OEMs for their orders.

Rivalry amongst Existing competitors

HIGH

Market is crowded with several OEMs with similar product portfolios



HONDA



TOYOTA



HYUNDAI

Threat of New Entrants **HIGH**

New players (Kia) have disrupted the market with highly competitive prices. Global OEMs yet to enter India are a substantial threat



UBER



MEDIUM Threat of Substitutes

There are post-COVID challenges in public transport & Uber, Ola have threatened the private vehicle market since a past few years

amazon



AJIO.COM

Can you analyze the E-Commerce industry and
rate the five forces as low, medium or high?

Let us know in the Comments

TATA
CLiQ

NYKAA

